

ADVICE

Financial markets don't just reflect financial realities. Investors' beliefs, perceptions, and desires exert a tremendous influence on most instruments and indexes. When investor and advisor expectations regarding portfolio performance fail to complement one another, the advisory relationship can deteriorate quickly. So it's important that a practitioner accurately gauge a client's mind-set; this doesn't just mean listening carefully when the client answers important questions. Sometimes, the formulation of the question itself also matters because framing determines reference points and defines expectations. Each investor has the right to express his or her personal financial objectives and should expect investment plans to be created relative to these desires. The advisor needs to ask the right questions and to make sure to understand the client's answers. Assessing investor risk tolerance is a process wherein framing can be particularly influential; so practitioners and clients should make sure to carve out a precise, shared understanding of what constitutes risk and should decide exactly how much risk is tolerable. Ultimately, question framing can and does determine appropriate information elicitation.

This section offers advice on each of the specific investor errors outlined in the preceding feature box.

Narrow framing. Investors engaging in narrow framing may become preoccupied with short-term price oscillations in an isolated stock or industry, or they may favor certain asset classes while remaining oblivious to others. Advisors should encourage clients to keep the big picture in mind: overall wealth accumulation and long-term financial goals. Clients should work on building balanced asset allocations and focus on ensuring that those allocations are helping them meet their financial goals.

Framing and loss aversion. Investors who feel that they've been faring poorly will seek out risks, while those pleased with their recent returns tend to play it safe. Advisors should encourage clients to isolate from their ongoing decision making any references to gains or losses incurred in a prior period. Advisors should also try to ask questions that are less likely to elicit biased answers. Finally, an emphasis on education, diversification, and proper portfolio management can help to neutralize these biases.

Unintended investment choices based on incorrectly framed questions. Risk tolerance questionnaires are critical in assessing client goals and selecting appropriate investments. Advisors, therefore, need